

Emergency Procurement Policy

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EMERGENCY PROCUREMENT POLICY

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Owner: VP Supply Chain

1. PURPOSE

This policy defines the conditions under which emergency procurement procedures may be invoked, the approval authority in emergency situations, and the documentation requirements for post-event audit.

2. DEFINITION OF EMERGENCY

An emergency procurement situation exists when:

- (a) On-hand inventory has fallen to zero or is critically below safety stock, creating an imminent production or operational stoppage; or
- (b) A supplier has failed to deliver against an existing purchase order within the contracted lead time and no buffer stock exists; or
- (c) A force-majeure event has disrupted standard supply channels.

For the purposes of the automated procurement system, a requisition is classified as critical urgency when on-hand quantity is more than twice the safety stock level below the required quantity.

3. APPROVAL AUTHORITY IN EMERGENCIES

3.1 Critical Urgency Requisitions Below \$5,000

Critical urgency purchase requisitions with an estimated cost below \$5,000 placed against a preferred vendor are auto-approved under POL-PROC-001 and do not require additional emergency authorisation.

3.2 Critical Urgency Requisitions \$5,000 23 \$25,000

Critical urgency purchase requisitions with an estimated cost between \$5,000 and \$25,000 require manager approval. The manager must respond within 4 business hours of the approval request being raised. Failure to respond within this window escalates automatically to the VP Supply Chain.

3.3 Critical Urgency Requisitions Above \$25,000

Even in emergency situations, purchase requisitions exceeding \$25,000 must be approved by an executive (VP Supply Chain or above). The automated system will deny such requisitions and route them to the executive approval queue. Verbal

pre-approval may be granted by the VP Supply Chain, but written confirmation must follow within 24 hours.

4. NON-PREFERRED VENDOR USE IN EMERGENCIES

When no preferred vendor can fulfil an emergency requirement within the required lead time, a non-preferred vendor may be used provided:

- (a) The requisition is classified as critical urgency; and
- (b) Manager approval is obtained regardless of the order amount; and
- (c) A post-event vendor qualification review is initiated within 30 days.

5. DOCUMENTATION REQUIREMENTS

All emergency procurement events must be documented within 5 business days in the Emergency Procurement Register maintained by the procurement team. Documentation must include: the trigger event, the quantity and material procured, the vendor selected, the approval chain, and the total value of the emergency purchase order.

6. AUDIT AND REVIEW

The VP Supply Chain reviews all emergency procurement events quarterly. Patterns of repeated emergency procurement for the same material indicate a forecasting or safety-stock calibration failure and must be escalated to the demand planning team.